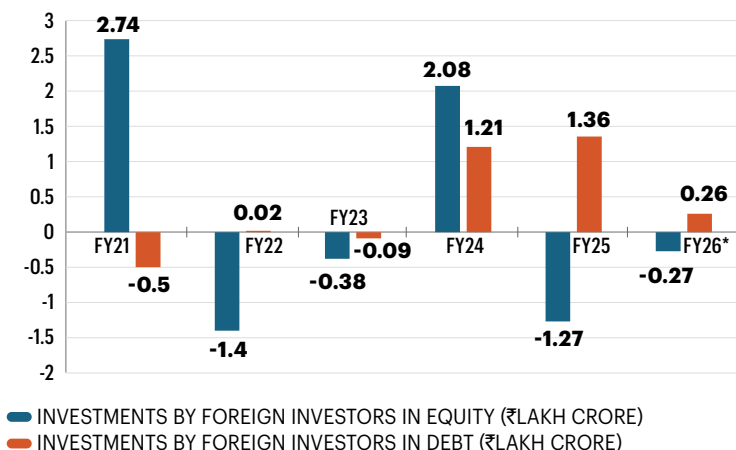


FOREIGN INVESTORS DUMP EQUITIES, PILE UP DEBT

- FPIs have invested over ₹26,000 crore in debt in FY26. Equities saw ₹27,000 crore FPI outflows till November 2025



NOTE *TILL NOVEMBER END, 2025 **SOURCE** CMIE ECONOMIC OUTLOOK, NSDL

funds holding longer-maturity bonds benefit more.

“Long-duration debt funds deliver stronger returns when interest rates fall as their higher modified duration amplifies price gains on existing higher-yield bonds,” says Aggarwal. At the same time, shorter-duration funds are less sensitive and provide better protection if rates move up again, he says.

Nagarajan supports this view. “Gilt funds and corporate bond funds seek to benefit from falling interest rates due to higher maturity of the fund.”

Garg of Invesco explains the outlook by focusing on different parts of the yield curve. “In a conventional falling interest rate scenario, longer duration funds produce higher capital gains.” At the current juncture, Garg sees attractive risk-reward for 5-10 year G-

secs with favourable demand and one-five year corporate bonds with elevated spreads. He says “debt fund categories like low duration, short term and corporate bond provide measured participation in these opportunities.”

WHAT WORKED

Performance trends over the last year underline the importance of fund selection. “Over the past year, credit risk and medium-duration funds have outperformed with average returns up to 10.5%, benefiting from credit spread tightening amid RBI rate cuts,” says Aggarwal. He believes short- to medium-term funds continue to offer balanced risk-adjusted returns.

Nagarajan attributes recent outperformance mainly to accrual. “Corporate bond fund did well due to higher maturity and accrual of

the portfolio.”

Garg provides a market-structure explanation. He says short-term and corporate bond funds did well because they were less exposed when the yield curve steepened. “Short-term and corporate bond funds, being largely positioned in up to 10-year segment, were lesser impacted by the steepening yield curve.”

Currency movements add another layer of complexity. A weakening rupee can influence bond markets through inflation, foreign flows, and RBI policy decisions. Garg says a weaker rupee “reduces flexibility of the RBI to act freely on its monetary policy,” raises imported inflation, and can lead to selling of domestic securities by foreign investors, impacting the demand-supply dynamics.

DIRECT INVESTING

How can retail investors buy government bonds? What is the minimum investment amount, and how easy is it to buy and sell these bonds? These are the key questions that come to the minds of new investors when they consider bonds. One important recent development is that access to government bonds has become much easier for retail investors, as investment platforms and exchanges have significantly lowered entry barriers.

Aggarwal highlights this shift: “Retail investors can invest directly in government bonds through online bond platform providers.” The minimum investment can be as low as “₹100, making them highly accessible.” While secondary market liquidity is still a concern, he notes that platforms are improving flexibility with features like “sell anytime,” even if subject to a short lock-in. **BT**

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